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BUS&201

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Business Law Mid-Term Exam

Question 3 Instructions: Imagine that you are an attorney who is advising a business owner about her choice of business entity. Make sure to tailor your advice to the specific kind of business she has and her specific circumstances. Also make sure to explain not only why one (or more business entity type(s)) may be a good choice(s), as well as why other business entity type(s) is/are not, depending upon her business and circumstances.

I will be representing the incorporation of a nationwide grocery chain, Mediation Mart, who are searching for a business entity that will provide them with growth potential and liability protection. They work with suppliers, landlords, and customers in order to facilitate the sale of perishable and non-perishable goods, between 5 locations across two states. For the sake of this scenario, they are already incorporated as a general partnership established by the initial founders of this chain, however as they started to expand, they found a need to evolve their business entity to better suit their needs.

Due to the already large presence this company presents reverting to a sole proprietor ship would not be advantageous. Even though the liability incurred is the same as a General Partnership, a sole proprietorship is designed for one owner, while this business has many. If the second partner were to leave, and the sole “owner” were to revert the course of the company,

downscaling it to the size of a farmstand would enable the singular owner to sell products, incurring all liability, and receive the benefits of being a small business with fairly unregulated actions.

Staying in its current form as a General Partnership (GP) would have a negative future impact on the operations of Mediation Mart. Being a growing business dealing with a rising number of customers and other businesses leaves it vulnerable to frivolous and legitimate legal actions which the owner(s) would be liable for, including the actions of the other partner(s). maintaining a GP would be advantageous if this was a complete joint venture between two parties willing to incur, or expecting to incur little, liabilities. Otherwise, the business is likely to be bogged down by the eventual lawsuits that it will incur from day-to-day operations, increasing with every unit of growth the entity receives.

If the founders overall refuse to relinquish control over Mediation Mart, but one wants to step back and protect themselves from the liabilities of the other, they should consider a Limited Partnership (LP). This organization will allow them to become a limited partner while the other stays a general partner, incurring personal liability. This is positive for the Limited partner as they don't incur liability unless they decide to involve themselves within the partnership operation. It also benefits the general partner (from the Limited Partner) by providing only the agreed upon share of profits from the partnership, meaning the general partner doesn't incur undue expense due to the additional "uninvolved" partner. Overall, this form of incorporation does not negate personal liability for all parties and does not allow for a large opportunity for the growth of the entity, especially considering the context of the business activities it operates.

If both founders are dead set on maintaining a partnership entity, they can choose to evolve their entity into a Limited Liability Limited Partnership (LLP/LLLP). This entity protects

all partners from personal liability, while maintaining the benefits of previous partnerships such as pass-through taxation: meaning partners aren't taxed at the corporate rate. Even if this may sound like the "perfect" entity for Mediation Mart the occurrence of LLPs and LLLPs are mostly on a state-by-state basis meaning that for a company which operates interstate (across state lines) would complicate its situation as Limited Liability Limited Partnerships have inconsistent laws determining its status varying between states which might leave the company in trouble with state and federal agencies.

To remove the issues found with partnerships the most basic choice for any company is to incorporate as a limited liability corporation (LLC), the industry standard for many companies and its accessibility to form from other entity types. The main reason for its popularity is due to the limited liability which it offers to protect all owners from personal liability due to the actions of the company, maintaining a corporate veil. This form can maintain multiple members, which is positive if the company chooses to raise equity by taking on additional owners. However, this form provides new administrative challenges present through state and federal law regarding incorporation, new fees, filing, and reporting requirements add to administrative costs. An LLC is a very flexible entity making it a great launch pad in case the company eventually expands and goes public.

If the company finds itself needing mass equity from new owners (shareholders), it would be beneficial to incorporate as an S-corporation (S-Corp). This way a company can identify and codify its values via its articles of incorporation and bylaws, especially if the company plans on expanding to other states, federally, internationally, or through franchises. An S-corp can only take on closely held investors, meaning it is not a public company limiting the amount of capital it can raise through investment. This is also helps the company avoid double taxation, as taxation

is passed to the owners instead of being taxed twice. This entity can entail increased administrative costs that come with the strict filing requirements set by federal agencies which depending on the scale at which the business can operate, will provide some expense but will provide liability protection for its owners.

If the business grows enough to become public, the only entity it can incorporate as a C-Corporation (C-Corp). To incorporate as a C-Corp it is defined in its articles of incorporation as an entity with perpetual existence, meaning it will only disband if shareholders agree. Held within that same standard is the company's general duty to maintain fiduciary soundness and act in good faith & standing toward its shareholders. While providing limited liability to an unlimited number of shareholders through the corporate veil it is also liable to regulations set upon it by its bylaws, the SEC, as well as Federal and State law. Although this method will incur the most administrative cost due to its establishment of Agents which keep the company in good standing with investors, as well as in compliance with regulation. The accessibility to an unlimited number of shareholders has infinite potential upon the capital which Mediation Mart can raise, making this entity the most viable once the company has found large-scale success within its sector.

In order to expand the scope of Mediation Mart the corporation could become a franchisee of supermarket chains, buying real estate and supporting the logistics of its franchises. While this incurs major start up costs it can be a safe way to maintain consistent earnings while minimizing corporate risk. This precludes losing some income to franchises but it's in theory made up for in brand presence and fast growth. Because of the corporation's "involvement" the franchises have no need/lack of ability to innovate products and practices leading to limited ability to adapt to new market conditions. Being a franchisor of franchises also comes with

administrative costs to comply with regulatory requirements set by state and federal law, as well as supporting costs facing your franchises. Overall, the ability for Mediation Mart to franchise could produce growth opportunities for the company despite its up-front and sustained costs.

As the attorney of Mediation Mart, my official recommendation regarding the incorporation of the company is to move the entities form to an entity which covers limited liability, either an LLLP or preferably an LLC. This will create a strong protected base which the company can use to safely expand into an entity which can incorporate as a corporation and further franchise. Considering administrative and taxation costs the company must establish a threshold which it will hit in order to safely incorporate into the next entity.